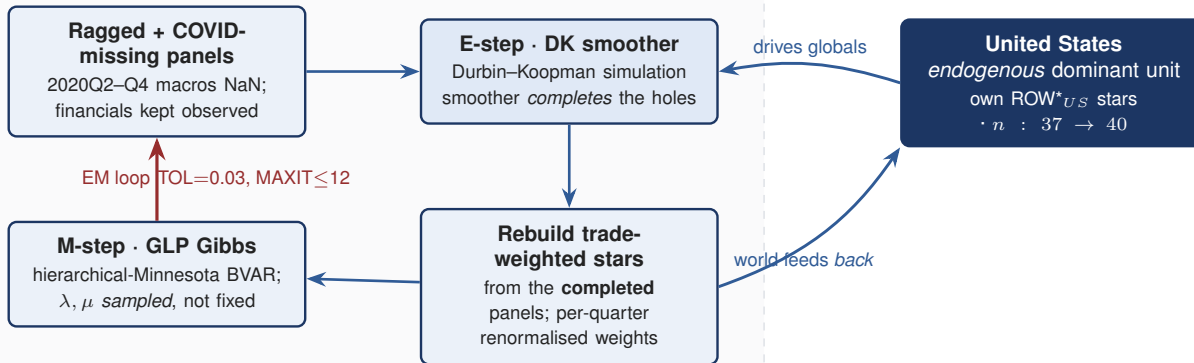


EM data-completion + Bayesian estimation



vs. Pesaran

- + Bayesian GLP shrinkage, not OLS
- + model-based completion, not truncation
- + US endogenised — world feeds back
- + affine deviation solve, pre-computed inverse

converged posterior-mean companion $(\hat{\beta}_i, \hat{\Sigma}_i)$ per bloc

Coupling by projection step — stars pinned to base

+ partner deltas at solve time $\Rightarrow$ **affine** fixed point

$$x = Mx + d \implies x = (I - M)^{-1}d$$

Pre-shipped inverse $(I - M)^{-1}$ (else inverse-free Neumann $x \leftarrow d + Mx$)

augmented state $x = [\text{stars} \parallel \text{US globals}]$, $\dim = |\text{coupled}| \cdot$

$3H + n_G H \approx 2060$, unique since $\rho(M) = 0.935 < 1$